

Where **80903, CO, El Paso County**

Home **1 adult, kids 3 & 7**

Pay **\$38,000 a year**

Rent **\$1,735 a month**

Child care **\$2,773 a month**

Your age **30**

SSDI **none**

Child support **none**

Unemployment pay **none**

Savings **none**

Your status **US citizen**

Kids with a disability **none**

Child care help **on**

Head Start **off**

Housing help **off**

Health plan from a job **off**

Self-employed **off**

You have a disability **off**

Gets food help (SNAP) **yes**

Gets cash help (TANF) **yes**

Gets Medicaid **yes**

Gets WIC **yes**

In a danger zone. Between \$36,000 and \$45,000 of earnings, net never gets back to the \$84,732 it reaches at \$36,000. Clear at \$45,000: a raise of \$7,000.

It happens again between \$45,000 and \$119,000. Safe from \$119,000: a raise of \$73,000.

Net, after premiums	Raise to clear the zone	Largest single-step drop	Reach at current earnings
\$84,371	\$7,000	\$25,449	40th
at \$38,000 earned	to \$45,000 earned	at \$54,000 → \$55,000	percentile, ±\$8,000 (n = 393)

Model coverage in Colorado

Figures complete for Colorado. Nothing this household would hold is unmodelled here. In 2 states (NJ, WA) this line would carry the  mark and every figure on the page would be a floor.

Corrections applied in Colorado

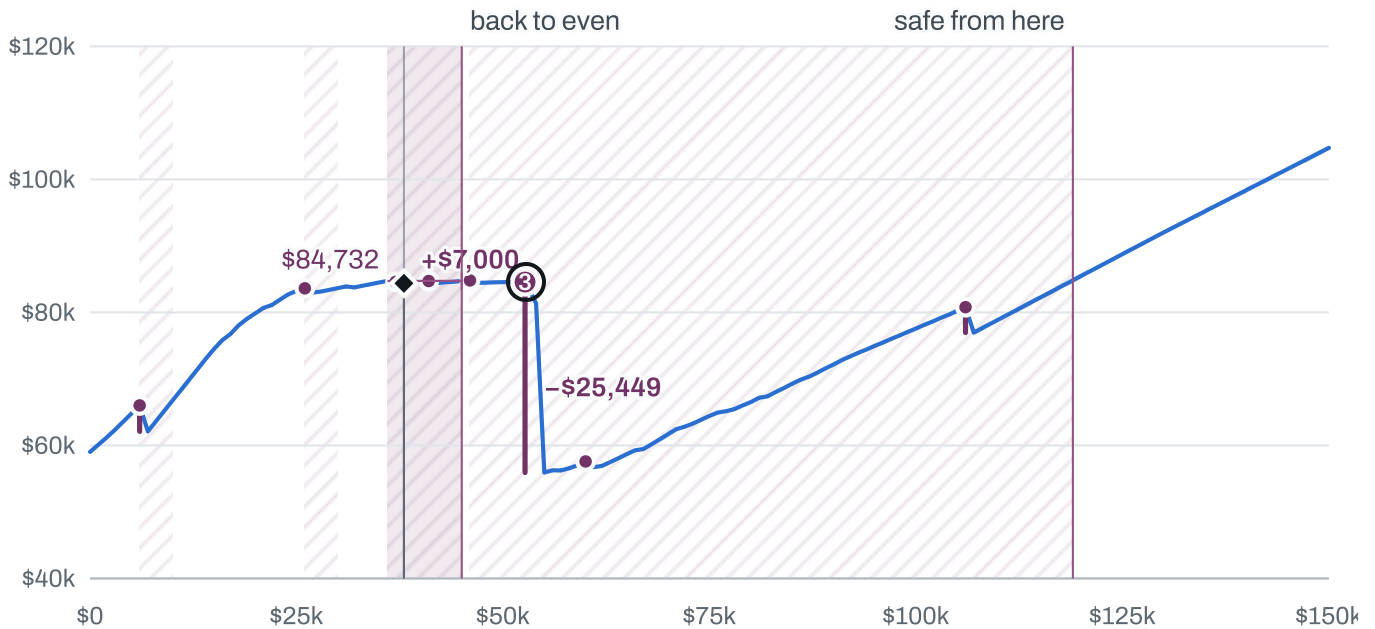
Colorado premium assistance

modeled

PolicyEngine's assigned_co_premium_assistance netted out of the premium (it lands in household_health_benefits, not the out-of-pocket figure HotGap reads); the local ladder stands down.

Checked and not applying here — TAFDC: Massachusetts-only; PolicyEngine's TANF as served.
CCDF child care subsidy: in net income: Already inside household_net_income
(gov.household.household_state_benefits lists this state's subsidy); HotGap only names it.
Coverage gap: Expansion state: adults to 138% FPL are on Medicaid, so the coverage-gap correction never fires.

Net income after premiums, \$0–\$150,000 of earnings



Earnings **\$38,000** → net **\$84,371**. Inside the household's danger zone (ends \$45,000; peak \$84,732 at \$36,000).

— Net income This household's zone Other zones Immediate cliff Current earnings
The leap, to the exit Safe from here

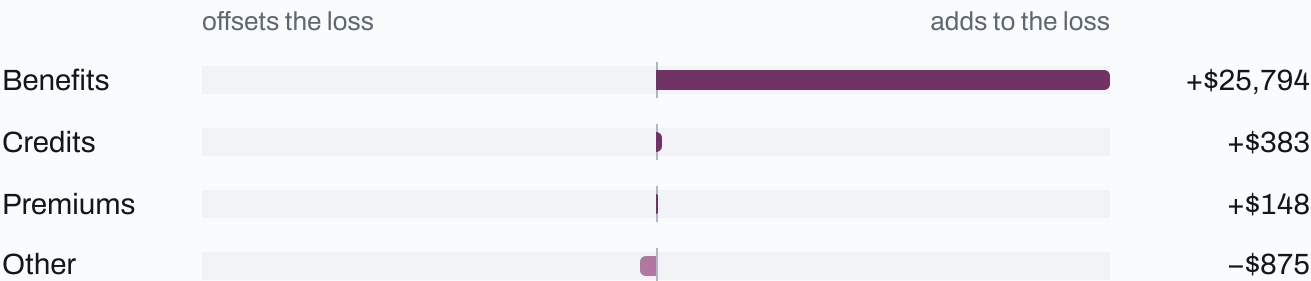
The y-axis starts at \$40,000, not \$0; the visible range is 3.1× the largest drop. No cliff on this curve is deferred. Estimates only — a caseworker decides real benefits. Rules: 2026. Curve: live PolicyEngine call for this household in El Paso County, Colorado. Rent: HUD Office of Policy Development and Research, FY2026 Fair Market Rents, county level, revised schedule (fmr_2). FY2026 (effective 2025-10-01), revised schedule, which supersedes the unrevised FY26_FMRs.xlsx. Child-care price: county 2015, carried to 2026 dollars by the BLS Employment Cost Index. Reach: ACS 2024 1-Year PUMS (and the 2020-2024 5-Year PUMS for small-state cells the 1-Year cannot support), householder + spouse earnings, adjusted to 2024 dollars by each record's ADJINC and to 2026 dollars by the BLS ECI. Vintages used: ACS 2024 1-year PUMS. Model: policyengine-us 2.6.2.

Every step down

Select a row or its mark for the breakdown.

Earnings	Drop	Programs lost	Driver
\$6,000 → \$7,000	-\$3,904	TANF cash assistance	benefits
\$26,000 → \$27,000	-\$627	none named	credits
\$37,000 → \$38,000	-\$219	Medicaid	premiums
\$41,000 → \$42,000	-\$305	none named	credits
\$46,000 → \$47,000	-\$361	none named	credits
\$51,000 → \$52,000	-\$780	none named	credits
\$53,000 → \$54,000	-\$2,444	SNAP, WIC	benefits
\$54,000 → \$55,000	-\$25,449	CCDF child care subsidy	benefits
\$60,000 → \$61,000	-\$857	none named	credits
\$106,000 → \$107,000	-\$3,821	Premium tax credit	premiums

Where the \$25,449 went — \$54,000 to \$55,000



Sums to \$25,449, the drop. Driver: benefits.

The four shares sum to the drop exactly. A share right of zero adds to the loss; one left of it offsets the loss — here, a falling tax bill. Medicaid and CHIP never appear: their value is a coverage sticker price, never cash, so it cannot move net income. A child losing coverage shows in *programs lost* instead.

Where each program ends

A program ends at the first pay at which it is gone. Adults and children are reported separately — a parent usually loses coverage far below a child's limit.

Earnings	Program	Who
\$7,000	TANF cash assistance	Household
\$38,000	Medicaid Coverage ends with the raise (no deferral applies); the net premium rises \$444 in the step.	Adult
\$41,000	Medicaid Deferred The children move to CHIP: \$4,548 a year of coverage from \$41,000. Crossing this does not end it this year: the loss lands at the child's next yearly renewal, up to 12 months away (42 CFR 435.926, 457.342).	Children
\$54,000	SNAP \$713 a year of SNAP continues at \$54,000, none from \$55,000.	Household
\$54,000	WIC \$181 a year of WIC continues at \$54,000, none from \$55,000.	Children
\$55,000	CCDF child care subsidy Worth \$24,899 a year at \$54,000. Care priced at \$2,773 a month for 2 children (county 2015 prices, carried to 2026 dollars by the BLS Employment Cost Index).	Household
\$59,000	Earned Income Tax Credit (EITC) Phases out; no step of \$200 or more, so it is not a cliff.	Household
\$73,000	CHIP Deferred The premium tax credit rises \$6,706 as it ends. Crossing this does not end it this year: the loss lands at the child's next yearly renewal, up to 12 months away (42 CFR 435.926, 457.342).	Children
\$107,000	Premium tax credit Net premium rises \$4,476 in one step; Colorado premium assistance (\$1,656) ends with it.	Household

Cash benefits never end inside this axis. Child coverage ends at \$73,000, deferred. No coverage gap band: Expansion state: adults to 138% FPL are on Medicaid, so the coverage-gap correction

never fires. Colorado premium assistance is modeled: netted out of the premium, up to \$1,656 a year.

Compare

The same rules asked of each what-if.

	Now 1 adult, \$38,000
Net after premiums	\$84,371
Change from now	—
In a danger zone	Yes
Zone ends at	\$45,000
Raise still needed	\$7,000
Safe from	\$119,000
Largest drop	\$25,449
Adult Medicaid ends	\$38,000
Child coverage ends	\$73,000
Reach at these earnings	40th

Reach is the share of households of the same shape in Colorado earning at or below this figure — it says how common the pay is, never the odds of getting there.

What this model does not include

- Health cost is premiums only — no deductibles, copays or other out-of-pocket spending.
- Assumed for this curve: a citizen, no savings, wages, not self-employment, no employer coverage and no other income; aged 30.
- Take-up assumed for SNAP, TANF cash assistance, Medicaid, WIC and CCDF child care subsidy; not for Head Start and Housing voucher.
- Annualised current-rule scenarios, not prorated calendar-year benefit totals.
- Not modelled in Colorado: LIHEAP. Not requested from PolicyEngine and not in its household_benefits; the few state programs upstream models never reach net income.

Estimates only — a caseworker decides real benefits. Rules: 2026. Curve: live PolicyEngine call for this household in El Paso County, Colorado. Rent: HUD Office of Policy Development and

Research, FY2026 Fair Market Rents, county level, revised schedule (fmr_2). FY2026 (effective 2025-10-01), revised schedule, which supersedes the unrevised FY26_FMRs.xlsx. Child-care price: county 2015, carried to 2026 dollars by the BLS Employment Cost Index. Reach: ACS 2024 1-Year PUMS (and the 2020-2024 5-Year PUMS for small-state cells the 1-Year cannot support), householder + spouse earnings, adjusted to 2024 dollars by each record's ADJINC and to 2026 dollars by the BLS ECI. Vintages used: ACS 2024 1-year PUMS. Model: policyengine-us 2.6.2.

For the client — Colorado, one parent, two children

You are paid \$38,000 a year. You keep about \$84,400 a year. More pay does not add to that until you are paid \$45,000 a year: a raise of \$7,000 a year. It happens again between \$45,000 and \$119,000.

\$29,379 of what you keep is child care help paid straight to your day care.

The biggest drop is at \$55,000 of pay: child care help ends and you keep \$25,449 less. Food help ends at \$54,000.

Your kids' health plan ends at \$73,000 of pay — but not that year. It ends at their next yearly check, up to 12 months later.

These are estimates. A case worker decides real help.

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